

Table 4: The carry trade in and out of the IYC signal. For each series and state, the number of months, the annualized mean (%/yr), the annualized Sharpe ratio, the skewness, and the expected shortfall (the mean of the worst 5% of monthly observations, %/month); states are the no-signal months, the IYC signal months, and the signal months outside and inside the downcurve regime, all lagged one month. The last column is the coefficient b on the state dummy in $y_t = a + b \mathbf{1}\{\text{state}\}_{t-1} + e_t$ over all months (so the base is every other month), with the wild cluster bootstrap p on the state’s episodes in brackets and stars by that p ($B = 9,999$). The *ex bottom decile* row re-estimates the signal regression after dropping the series’ full-sample bottom-decile months from both states, the ex-crash shift discussed in Section 5. Sample 1988:01–2026:02 ($N = 458$).

Series	State	N	Mean (%/yr)	Sharpe	Skew	ES _{5%}	b [wild p]
Carry, spot	No signal	366	+2.85	0.39	−0.41	−4.80	
	IYC signal	92	−10.00	−1.05	−0.99	−8.14	−12.85*** [0.001]
	non-downcurve	57	−15.55	−1.45	−0.92	−9.02	−18.07*** [0.001]
	downcurve	35	−0.96	−0.15	0.33	−3.71	−1.33 [0.671]
	ex bottom decile	77	+0.54	0.09	0.66	−2.50	−7.24*** [0.006]
Carry, total	No signal	366	+6.45	0.89	−0.34	−4.44	
	IYC signal	92	−4.86	−0.51	−0.98	−7.77	−11.31*** [0.003]
	non-downcurve	57	−11.24	−1.05	−0.92	−8.70	−17.61*** [0.002]
	downcurve	35	+5.51	0.83	0.49	−3.00	+1.45 [0.581]
	ex bottom decile	77	+5.82	0.94	0.72	−2.04	−5.50** [0.024]
High-beta, spot	No signal	366	+1.26	0.16	−0.43	−5.05	
	IYC signal	92	−6.27	−0.79	−0.29	−5.33	−7.53*** [0.010]
	non-downcurve	57	−11.54	−1.47	−0.51	−5.74	−12.89*** [0.000]
	downcurve	35	+2.31	0.31	0.13	−4.35	+2.78 [0.407]
	ex bottom decile	77	+2.55	0.44	0.51	−2.68	−3.72* [0.084]
High-beta, total	No signal	366	+3.18	0.41	−0.43	−4.88	
	IYC signal	92	−3.64	−0.46	−0.27	−5.11	−6.82** [0.013]
	non-downcurve	57	−9.21	−1.17	−0.51	−5.55	−12.59*** [0.001]
	downcurve	35	+5.43	0.73	0.21	−4.09	+3.92* [0.084]
	ex bottom decile	78	+4.67	0.80	0.54	−2.63	−3.68* [0.060]